

DM MARKET UPDATE

Weekly Research Supplement — August 17, 2026

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MARKET SNAPSHOT — AUGUST 17, 2026

ASSET	PRICE	CHG	NOTE
Bitcoin (BTC)	~\$63,100	-2.8% wk	Failed \$65,600 EMA; ETF flows net negative last week
Ethereum (ETH)	~\$1,880	-3.0% wk	Below \$1,900; muted despite soft inflation data
S&P; 500	~7,785	3rd wk gain	Record 7,798 on CPI day (Aug 13); closed Fri \$7,785
WTI / Brent	~\$82/\$88	+5% wk	Iran-US MOU expires TODAY; Hormuz deadlock
Gold	~\$4,420	+5% wk	Safe-haven + lower hike odds; near \$4,437 high
10-yr Treasury	~4.70%	Near 19-mo hi	Long end not buying the disinflation story
Sept Hike Odds	~31-33%	From 44%	3 soft prints pushed hold to 67-69% majority
Jackson Hole	Aug 27-29	10 days	Warsh keynote Aug 28; Nvidia Aug 26 night before

MACRO THEMES

July CPI 3.4% In-Line — Sept Hold Now 67-69%

Headline +0.1% MoM / +3.4% YoY; core +0.2% / +2.5% (lowest since Mar 2021). Both 0.1pp below June. S&P; hit record 7,798 on CPI day. Hike odds: 44% → 31%.

Retail Sales -0.6% — Biggest Drop Since May 2025

Missed +0.1% consensus; autos -1.8%, online -2.2%. U. Michigan sentiment prelim 51 (-8%). Restaurants +0.5% (4th straight). Consumer softening in goods, not services.

Cisco + Applied Materials: Beat-and-Fade Pattern

Cisco: rev \$17.3B (+18%), AI orders \$4B Q4, guide strong — stock fell. AMAT: record \$9.12B (+25%), CEO raised AI outlook — stock -3.46%. Valuation exhaustion signal.

Iran-US MOU Expires TODAY — Oil at \$88 Brent

60-day ceasefire window closes Aug 17 in deadlock. Iran demands naval blockade lifted. Brent \$88, up 5% last week on expiration risk. Watch for US escalation decision.

CRYPTO THEMES

Bitcoin \$63,100 — CPI Didn't Move It; ETF Flows Reversed

Soft CPI + S&P; ATH; BTC still drifted from \$65K to \$63,100. In-line CPI was already priced. ETF flows net negative last week (Aug 10: -\$144.7M). Streak broken.

\$65,600 EMA Ceiling Holds — Strategy Still Selling

50-month EMA at \$65,600 capped every rally this year. BTC hit \$65,300, failed, drifted. Strategy sold 1,690 BTC (~\$108M) last week. 7 consecutive weeks selling.

CLARITY Act: Thune Filed Cloture to Keep Alive for Sept

Senate recessed Aug 7 without vote. Thune filed cloture Aug 8 to preserve calendar slot. Sept 8 return — competes with appropriations. 60-vote threshold still required.

Jackson Hole Aug 28 — 10 Days — Warsh's First Keynote

Theme: 'Financial Innovation + Payments + Policy.' Nvidia reports night before (Aug 26). Warsh's tone on rates + any digital assets language = defining moment for crypto.

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WEEKLY DATA SCORECARD — AUG 10-15, 2026

REPORT	DATE	ACTUAL	EST.	PRIOR	VERDICT
July CPI Headline	Wed Aug 13	+3.4% YoY / +0.1% MoM	+3.4% / +0.1%	+3.5% / +0.1%	In-line; core 2.5% = lowest since Mar 2021
July CPI Core	Wed Aug 13	+2.5% YoY / +0.2% MoM	+2.5% / +0.2%	+2.6% / +0.2%	Lowest since March 2021; shelter soft
July Retail Sales	Fri Aug 15	-0.6% MoM	+ 0.1%	+0.4% (rev.)	Biggest miss since May 2025; consumer signal
U. Mich Sentiment	Fri Aug 15	51 (prelim)	57	61.1	8% drop; 5th month above 4% inflation expect.
Cisco FY26 Q4	Wed Aug 13 AH	\$17.3B rev. (+18%)	\$16.82B	\$14.6B	Beat; AI orders \$4B; Q1 guide strong; fell AH
Applied Materials	Thu Aug 14 AH	\$9.12B rev. (+25%)	\$8.99B	\$7.27B	Record; CEO raised AI outlook; fell -3.46%

ECONOMIC CALENDAR — AUG 17-29, 2026 + AHEAD

DATE	EVENT	DETAIL	SIG
Mon Aug 17	Iran-US MOU expires — watch oil	Escalation risk; Brent \$88; US decision pending	HIGH
Aug 18-22	Light US data week	Housing starts, leading indicators	Low
Wed Aug 26 AH	Nvidia Q2 FY2027 Earnings	AI trade referendum; beat/fade = valuation signal	Earn.
Thu Aug 28	Warsh Jackson Hole Keynote (AM)	'Financial Innovation + Payments + Policy'	Jackson
Aug 27-29	Jackson Hole Symposium	Warsh first keynote as Chair; digital assets?	Jackson
Sep 4	August NFP	Last labor data before Sept FOMC	HIGH
~Sep 10-12	August CPI	Oil-driven; Hormuz outcome baked in	HIGH
Sep 16-17	FOMC Decision	~31-33% hike; ~67-69% hold currently	FOMC

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KEY TECHNICAL LEVELS

ASSET	CURRENT	SUPPORT	RESISTANCE	BIAS
Bitcoin	~\$63,100	\$62,000 / \$60,000	\$65,600 (50-mo EMA) / \$67,300	Cautious
Ethereum	~\$1,880	\$1,750 / \$1,600	\$2,000 / \$2,200	Cautious
S&P; 500	~7,785	7,700 / 7,600	7,800 / ATH 7,799	Recovering
WTI / Brent	~\$82/\$88	\$78 / \$75	\$92 / \$95 (escalation)	Uncertain
Gold	~\$4,420	\$4,300 / \$4,100	\$4,500 / \$4,600	Neutral
10-yr Yield	~4.70%	4.5% / 4.3%	5.0% / 5.2% (2007 high)	Watch JH

RISKS & OUTLOOK

BEARS WATCH

Iran escalation today — MOU expiry triggers US action; Brent above \$92; August CPI re-accelerates above 4%; September hike back to 50%+; BTC tests \$60K. **Nvidia beat-and-fade Aug 26** — confirms AI trade valuation exhaustion; risk-off; tech selloff bleeds into crypto sentiment. **ETF outflows continue** — Strategy selling as structural headwind; no fourth consecutive positive week materializes.

BULLS WATCH

Iran-Oman deal formalized — Hormuz partial reopening; Brent to \$78-80; August CPI surprise to downside; September hold firmly locked. **Nvidia blowout Aug 26** — AI demand confirmed; risk-on into Jackson Hole; BTC ETF flows restart; \$65,600 EMA tested with momentum. **Warsh balanced at Jackson Hole** — data-dependent tone; any digital payments language moves crypto; September hold confirmed; BTC targets \$67,300 then \$70K.

JACKSON HOLE AUG 27-29 — 10 DAYS

Nvidia Aug 26 sets the tone. Beat-and-hold = risk-on into JH; beat-and-fade = valuation exhaustion. Two consecutive beat-fades (Cisco, AMAT) make a third one the signal that AI trade is priced for perfection. **Warsh's keynote is the most crypto-relevant speech in Fed history.** Theme: 'Financial Innovation + Payments + Policy.' First Fed Chair who could address Bitcoin and digital payments from the Jackson Hole stage.

What Warsh has room to say: CPI, PPI, and retail sales all soft. The data gives him cover to be balanced rather than hawkish. A data-dependent tone at JH would be the best outcome for risk assets into September. **What moves crypto:** Any language on digital payments, stablecoins, or Bitcoin's role in the payment ecosystem would be historically unprecedented. Even neutral framing signals the Fed is engaging with the topic.